



Green Decision-Making and Behavioural Change

🕒 15 min · Supporting learning resource (LSM)

Module 2 · From Awareness to Action-Skills for Sustainable Business

Subunit 2.4 – Green Decision-Making and Behavioural Change



Introduction

In many SMEs, sustainability is recognised as important. Managers understand the benefits of reducing costs through energy efficiency, and employees are often aware of environmental issues. However, despite this awareness, sustainable practices are not always implemented.

This raises an important question: Why do people not always act in a sustainable way, even when they know they should?

The answer lies in the way decisions are made and how behaviour influences everyday actions. Sustainability is not only about having the right knowledge or strategy—it is also about habits, motivation, and organisational culture.

Key concepts explained

Decision-making in SMEs

Decision-making in SMEs is often shaped by practical constraints.

Managers must balance multiple priorities, such as financial limitations, operational efficiency, and customer demands. As a result, sustainability decisions are often evaluated against short-term pressures.

👉 Example (SME case-like situation):

A small manufacturing company considers replacing old machinery with more energy-efficient equipment. Although the long-term savings are clear, the initial investment is high. Due to limited budget and uncertainty about future demand, the manager decides to postpone the decision.

This example illustrates how sustainability decisions are not only rational but also influenced by risk perception and resource constraints.

Behavioural factors influencing decisions

Even when decisions are made, their success depends on behaviour.

Employees and managers often rely on routines and habits when performing tasks. These habits can either support or hinder sustainability.

👉 Example:

An organisation introduces a digital system to reduce paper use. However, employees continue printing documents because they are used to working with paper. This shows that behaviour can override intention. Even when better solutions exist, people may continue familiar practices.

Common barriers to sustainable behaviour

Several behavioural barriers can prevent sustainable practices from being adopted.

Habits

People tend to repeat familiar actions without questioning them.

👉 Example: printing documents automatically instead of reviewing them digitally.

Resistance to change

New practices may be perceived as inconvenient or unnecessary.

👉 Example: employees resist new procedures because they feel more complex.

Lack of incentives

If there is no visible benefit, individuals may not feel motivated.

👉 Example: no recognition or feedback for sustainable actions.

Limited awareness

Some employees may not fully understand the impact of their actions.

👉 Example: leaving equipment on without realising the energy cost.

These barriers are often subtle but have a strong influence on daily behaviour.

Role of organisational culture

Organisational culture shapes how decisions and behaviours are expressed.

In SMEs where sustainability is part of everyday communication, employees are more likely to engage in sustainable practices.

👉 Example:

In a small office, sustainability is regularly discussed in team meetings, and simple practices are encouraged. Over time, employees begin to adopt these behaviours naturally.

In contrast, if sustainability is not visible or prioritised, it may be ignored.

Culture therefore acts as a “framework” that supports or limits behavioural change.

Reflection prompts

- Think about a recent decision you made at work. What influenced it?
- Are there habits that affect your choices?
- What makes it difficult to change behaviour?
- What could help you adopt more sustainable practices?

Link to next unit

This unit explored how decisions and behaviour influence sustainability.

The next unit will focus on how organisations can strengthen sustainability practices through structured approaches and continuous improvement.

Drivers of behavioural change

Despite these challenges, there are also factors that encourage sustainable behaviour.

Motivation

When individuals understand the benefits—both environmental and economic—they are more likely to act.

👉 Example: employees become more engaged when they see cost savings or improvements.

Leadership

Managers who actively support sustainability create direction and credibility.

👉 Example: a manager who promotes energy-saving practices and follows them personally.

Peer influence

Behaviour spreads within teams.

👉 Example: when some employees adopt digital practices, others follow.

Awareness

Understanding the impact of actions increases responsibility.

👉 Example: visual indicators showing energy use encourage better behaviour.

Key takeaways

Sustainability decisions are influenced by both organisational and behavioural factors.

Habits, motivation, and culture play a critical role in implementation.

Barriers such as resistance to change can limit progress, even when good decisions are made.

Supporting behavioural change is essential for achieving sustainable outcomes.

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